

ARM-2506 | PCO-006

Commercial evidence and June close assessment - Eastbank Data Hall Cooling Expansion

Prepared by	Commercial Management with Project Accounting
Cutoff	June 30, 2026
Project manager	Priya Raman
Commercial status	Pricing
Purpose	June WIP evidence; not an executed contract modification

Executive assessment

The revised work is probable and technically directed, but revenue remains unapproved. June WIP should carry the \$210,000 cost exposure in EAC and exclude the \$296,000 pricing from current contract value.

Documented facts

Item	Current evidence
Requested revenue	\$296,000 in pricing; engineer and owner are reviewing scope allocation
Probable cost	\$210,000 electrical feeder, controls integration and schedule impact
Authorization	Design bulletin issued; commercial responsibility and price remain unresolved
PM forecast	June ETC explicitly excludes the redesign exposure
June close implication	Exclude revenue; add \$210,000 probable cost exposure to EAC

Chronology

Date	Source	Event / evidence
2026-06-04	Design bulletin DB-27	Engineer revised chiller feeder and controls interface requirements.
2026-06-11	Subcontractor quote	Prime Electric submitted revised material and labor pricing.
2026-06-21	PCO draft	ARM pricing compiled at \$296,000 including markup and schedule impact.
2026-06-29	OAC meeting	Owner accepted technical approach but deferred commercial determination.

Close-use checklist

This packet supports estimate judgment but does not replace the executed contract, accounting-system contract report, or Controller approval.

- Verify posted cost and billings through the close cutoff using Vista ERP.
- Confirm whether the exposure is already included in the PM forecast ETC.
- Exclude unexecuted revenue from current contract value unless the Controller documents a specific exception.
- Include unavoidable forecast cost when the evidence indicates the work or obligation is probable.
- Retain this packet with the final WIP schedule and proposed journal entry support.

Approval status

Project manager	Reviewed for scope and estimate; no authority to change accounting conclusion
Commercial manager	Evidence compiled; contract modification not executed at cutoff
Controller	Close treatment to be applied in the June WIP workpaper
Vista ERP	No change to current contract value from this packet alone

Attachment index

A. Pricing summary and internal estimate | B. Correspondence log | C. Field/engineering summary | D. Close-treatment note

Attachment A — pricing / cost build-up (working)

Copied from the commercial estimate. This page contains internal allowances and rounding; it is not customer-facing pricing and does not establish entitlement.

Cost code / work package	Labor	Material / sub	OH / markup	Working total
Electrical feeder redesign	\$32,000	\$94,000	\$12,600	\$138,600
Controls integration	\$28,000	\$19,000	\$4,700	\$51,700
Engineering and schedule support	\$17,000	\$—	\$2,700	\$19,700
Probable cost exposure	\$77,000	\$113,000	\$20,000	\$210,000

Loose estimate notes

Labor productivity assumes uninterrupted access. Freight and escalation were carried from the 6/21 estimate. One subcontract quote expired at month end. PM forecast treatment must be checked independently; this attachment includes both commercial pricing and cost concepts.

Attachment B/C — correspondence and field record excerpts

EXCERPTS / NOT COMPLETE CORRESPONDENCE FILE

6/11 07:42	Field: access sequence changed; superintendent requested cost capture.
6/17 16:08	Commercial: pricing transmitted with exclusions and validity period.
6/27 09:14	Owner/GC: receipt acknowledged; commercial acceptance not provided.
6/30 15:36	Project accounting: no executed change located in contract folder.

Reviewer marks

PR 6/30 — scope support adequate for probable-cost review; entitlement remains open. NB 7/1 — trace ETC inclusion before final WIP. DC — do not present this packet as an approved change order.